NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 02.11.2021 AT 10.30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CP (CAA) NO. 35/230/AMR/2020
NAME OF THE COMPANY	Pilkington Glass India Pvt Ltd (Transferor Co.) & Pilkington Automotive India Pvt Ltd (Transferee Co.)
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP (CAA) No. 35/230/AMR/2020 is allowed and scheme sanctioned, vide separate ~~sheets~~ order.

(JUSTICE TELAPROLU RAJANI)
MEMBER JUDICIAL

RSN

IN THE NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
HYDERABAD

CP (CAA) No. 35/230/AMR/2020
Connected with
CA(CAA) No. 20/230/AMR/2019

Petition under Sections 230 to 232 of the Companies Act, 2013

Pilkington Glass India Private Limited
203-204, 2nd Floor,
Vishwadeep Tower District Centre,
Janakpuri,
New Delhi – 110 058. **... Transferor Company**

Pilkington Automotive India Private Limited
Plot No.8, Non SEZ of APIIC,
Atchutapuram Mandal, Visakhapatnam,
Andhra Pradesh – 531 011. **... Transferee Company**

Date of Order: 02.11.2021

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

1. Mr. M. M. Viswaraj, Advocate along with Mr. Ravi Sharma, Advocate for the Petitioners.
2. Mr. B. Jithender, CGSC for Regional Director (SER), MCA Hyderabad.
3. Mr. Pola Raghunath, Official Liquidator

ORDER

The present Company Petition under Section 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 is filed seeking sanction of the proposed Scheme of Amalgamation ('the Scheme') between Pilkington Glass India Private Limited (Transferor Company) and Pilkington Automotive India Private Limited

(Transferee Company) and their respective shareholders and creditors.

2. The Registered Office of the Transferor Company is situated in New Delhi, whereas, the Registered Office of the Transferee Company is situated in Visakhapatnam, Andhra Pradesh. The Transferor Company had preferred an Application i.e. CA-873 (PB)/2019 before the NCLT, New Delhi for transfer of applicationto NCLT Hyderabad Bench under Rule 16(d) of the NCLT Rules, 2016. The Hon'ble Principal Bench vide order dated 03.05.2019 in CA-837(PB)/2019 permitted the Transferor Company to file a joint application along with the Transferee Company before NCLT, Hyderabad Bench. Hence this Application.

3. The Petitioner Companies had filed CA(CAA)No. 20/230/AMR/2019 before this Bench seeking dispensation of convening meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Companies. The Tribunal vide its order dated 24.12.2019 dispensed with the meetings of the Equity Shareholders and Creditors of the Petitioner Companies.

4. The Petitioner Companies then filed the present Petition before this Tribunal seeking sanction of the Scheme with appointed date as 01.04.2019. This Tribunal vide its order dated 17.06.2020 ordered notice of the hearing of the Petition to be advertised in Daily Newspapers. Accordingly, the Petitioner Companies published notice of hearing of the Petition on 09.07.2020 in English Newspaper i.e. Business Standard, in Hindi Newspaper i.e. Business Standard and Telugu Newspaper i.e. Praja Sakthi. Notice of hearing of the Petition was served on the Regional Director (Northern Region), MCA, New Delhi; RoC, NCT of Delhi & Haryana and the Official Liquidator, Delhi on 01.07.2020. Further,

served a copy of the petition on the Income Tax Department through Deputy Commissioner of Income Tax, New Delhi on 30.06.2020. Similarly, a copy of the Petition served on the Income Tax Department, Visakhapatnam by hand on 30.06.2020 and Regional Director (SER), MCA, Hyderabad; RoC, Andhra Pradesh and Official Liquidator for the State of Telangana and Andhra Pradesh on 07.07.2020.

5. According to the Applicant Companies, the present Scheme would result in consolidation of the business operations, undertaken by the Applicant Companies. Further, it would result in reduction of the companies leading to reduction in compliance requirements, overheads, administrative, managerial and other expenditure and optimal utilization of various resources due to consolidation of activities.

6. Heard the Counsels for the Petitioner Companies, Regional Director (SER) and Official Liquidator, Hyderabad.

7. The Official Liquidator for the State of Telangana and Andhra Pradesh vide his Report dated 06.08.2020 while reiterating the averments made in the Petition submitted that since the Transferor Company (seeking dissolution without winding up as per Clause 15 of Part II of the proposed Scheme of amalgamation) is registered in NCR of Delhi, the Official Liquidator, Hyderabad has no jurisdiction against the Transferor Company and hence no comments to offer on such Transferor Company in the proposed Scheme of Amalgamation. Hon'ble Tribunal may be pleased to take this report and exempt Official Liquidator, Hyderabad from filing specific representation and appearance in the proposed Scheme of Amalgamation.

8. The Regional Director (South East Region), Ministry of Corporate Affairs vide his representation dated 27.11.2020 while reiterating the averments made in the Petition submitted that on 16.09.2020 a notice has been issued to the Principal Commissioner of Income Tax, New Delhi and to Chief Commissioner of Income Tax, Andhra Pradesh. However, no report from Income Tax Department has been furnished to the RD. The RD also made specific representation with regard to the following and the Petitioner Company filed reply affidavit dated 08.02.2021 with this Tribunal on 23.03.2021 and answered the same as below:-

S. No.	RD's Observations	Reply of the Petitioner Companies by way of Affidavit dated 08.02.2021
1	The Directorate has received letter dated 19.10.2020 from the Regional Director, Northern Region, Delhi and enclosed the copy of the report of ROC, Delhi & Haryana dated 03.09.2020 opining no objection to the proposed Scheme, but pointed out certain observations as under:-	
	a) Clause 13 of the Scheme i.e. regarding increase and consolidated of authorised share capital, the Hon'ble Tribunal may be pleased to direct the Transferee Company to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 in regard to fee payable on its revised authorised share capital.	As per Para 13.1 of the Scheme "*The fees and stamp duty paid by the Transferor Company on its authorized Share Capital shall be set-off against any fees payable by the Transferee Company on increase in its Authorised Share Capital subsequent to amalgamation. Balancer fees if any after the aforesaid set off shall be duly paid by the Transferee Company upon the sanctioning of the Scheme.*" Further the present Scheme of amalgamation involves merger of the Transferor Company into the Transferee Company. Transferee Company holds 100% shareholding of the Transferor Company. Therefore, pursuant to

		the scheme being effective there will only be consolidation of the existing authorized share capital of both the Petitioner Companies. It is submitted that both the Petitioner Companies have already paid the requisite fee on their respective authorized share capital at the time of incorporation. Hence, no fees shall be payable. But, if any amount is payable, the same shall be borne by the Transferee Company.
	b) Hon'ble Tribunal may be pleased to direct the Petitioner Companies to amend the Scheme and file fresh amended Scheme as there is no consideration clause in the proposed Scheme.	Since the Transferor Company is a wholly owned subsidiary of the Transferee Company, no shares are required to be issued pursuant to the Scheme of Amalgamation as the entire share capital of the Transferor company is held by the Transferee Company. Therefore, there is no consideration involved in the said scheme,. Hence, there is no requirement to amend the existing scheme and filing of amended fresh scheme.
	c) As per note 30 of financial statement of Transferor Company as at 31.03.2019, an amount of Rs.64,43,381/- disclosed under loan and advances is recoverable from parent company and amount of Rs.2,84,736/- disclosed under Trade Receivables is recoverable from certain parties as on 31.03.2019. The Company has made provision for said entire amount considering it as non-recoverable. The Company is in process of getting approval from AD Category-1 Bank (Money Changer) to write off these balances in the books of accounts. Hon'ble Tribunal may be pleased to direct the Transferor Company to furnish the current status with proper justification and supporting documents, duly certified by	During the year 2012, the Transferor Company purchased goods from Pilington UK Limited (PUKL). The said goods were sold to Hindustan Glass Works Limited (HGWL), an Indian customer, on high sea sales basis. However, the goods got damaged in transit. As these containers were extensively damaged, HGWL did not pay the Transferor Company and raised a Debit Note on 18.08.2012 for Rs.64,43,381/-. Considering that the Transferor Company has already made import remittance to PUKL, the Transferor Company in turn raised a recoverable claim of Rs.64,43,381 on PUKL on 30.11.2012. PUKL denied accepting the claim via email and hence a provision for doubtful debts of Rs.64,43,381/- was also created against such claim. No further action has been taken by the Transferor Company. PUKL,

	the Directors of the Company.	Transferor Company and Transferee Company are part of same group. In accordance with Clause 7.15 of the Scheme, the Transferee Company will continue to exist and the amount of loans and advances recoverable from PUKL by the Transferor Company shall be recovered by the Transferee Company.
	d) As per financial statement of Transferor Company as at 31.03.2019, Trade Payable include Rs,.71,03,367/- relating to amount payable to group companies out of which Rs.71,03,367/- is due more than three years. The RBI Master Circular dated 02.07.2012 on import of goods and services require that the import remittance should be completed not later than prescribed time limit from due date. Hence, Hon'ble Tribunal may be pleased to refer the matter to RBI for furnishing their comments, if any in the matter, before the Scheme is allowed.	During FY 2011-12 and FY 2012-13, the Transferor Company had imported goods from PUKL and Pilington Deutschand AG (PDAG) Germanay for onward sales to domestic India customers. Due to financia difficulties, the Transferor Company was unable to make the import remittance within the stipulated time and hence the amount of Rs.38,54,129/- and Rs.32,49,244/- is outstanding for payment of PUKL and PDAG Germany respectively as on 31.03.2019. As per Master Circular dated 02.07.2012, AD Category-1 banks may permit settlement of import dues delayed due to disputes, financial difficulties etc.
2	The Directorate has received letter dated 12.11.2020 from the RoC, Andhra Pradesh opining no objection to the proposed Scheme, but pointed out certain observations as under:- a) The RoC received one complaint regarding termination of employment and mismanagement received from Ex-Company Secretary Mr. Navin Sikchi and the complaint has been processed and a CGRF meeting was conducted in this regard on 10.08.2020 at RoC, Vijayawada for which the complainant is absent and stated that final orders on the com[plaint is yet to be issued. Hon'ble Tribunal may be pleased to direct the Petitioner Company to take further necessary action in the matter immediately and resolve the grievances before	Shri Navin Sikchi was appointed as the Company Secretary of the Company for the period from 10.06.2019 for providing secretarial, legal and financial services. Since his services were not as per the expectations of the Transferee company he was removed from the services w.e.f. 16.08.2019. Subsequently, he filed a complaint against the Company with MCA and ROC, Vijayawada with false allegations on the Company on 27.11.2019.

	the Scheme is allowed.	As per directions received from the ROC an Adalat/Grievance redressal forum was conducted at the office of RoC, Vijayawada in the above matter. The complainant did not attend the Adalat. As was required, the directors of the Transferee Company produced the books of accounts/documents in original for verification to the official as of RoC. After verification, the original books of accounts/documents were returned, and the matter was forwarded to RoC for examination and further necessary action in this matter. The Transferee Company submits that there is no pending action from their end. A copy of the minutes of the Adalat conducted in office of RoC on 10.08.2020 enclosed with this Affidavit. Further without prejudice to the above, it is also submitted that as per Clause 11.1 of the Scheme, all legal proceedings pending by or against the Transferor Company shall continue and enforced by or against the Transferee Company.
	b) The Tribunal may be pleased to direct the Petitioner Companies to preserve its books of accounts and papers and records and shall not be disposed off without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.	The Petitioner Companies hereby submits that they shall preserve their books of accounts and papers and records and shall not dispose off the same without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.
	c) The Tribunal may be pleased to direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	The Petitioner Companies submit that it has ensured statutory compliance of all applicable laws and unconditionally undertakes that on sanctioning of the present scheme the Transferee Company shall not be absolved of any of its statutory liability and the transferor's statutory liability in any manner.

	d) The Tribunal may be pleased to direct the Petitioner Companies, involved in the scheme to comply with Rue 17(2) of the Companies (Compromise, Arrangement and amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in form No. INC-28 with the concerned office of Registrar of Companies by the Petitioner Companies.	The Petitioner Companies hereby submits that it shall comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in form No. INC-28 with the concerned office of Registrar of Companies.
	e) The Tribunal may be pleased to direct the Transferee Company to furnish the compliance of Section 188 of the Companies Act, 2013 with regard to compliance of related party transactions for the last three years.	The Petitioner Companies hereby submit that it has aready furnished the documents showing compliance of Section 188 of the Companies Act, regarding related party transactions for the last 2 years to the RD vide submission acknowledged at the Office of RD (SER) on 30.09.2020. A copy of the same is enclosed with this Affidavit.
2	The Directorate's letter dated 16.09.2020 issued to Official Liquidator, Delhi, till date no report in the matter has been received from Official Liquidator, Hence, Hon'ble Tribunal may be pleased to direct the Official Liquidator to furnish his report and after taking in to consideration of the report of Official Liquidator, necessary action may be taken.	The report of the Official Liquidator, Delhi conveyed no objection to the proposed scheme.

It is further submitted by the Petitioner Companies that the Assistant Commissioner of Income Tax, New Delhi vide their letter dated 02.02.2021 conveyed his no objections to the Scheme. A copy of the letter is enclosed with the Affidavit. Similarly, the Assistant Commissioner of Income Tax, Visakhapatnam vide his letter dated 03.08.2020 conveyed no objection for the Scheme. A copy of the same is enclosed with this Affidavit.

In view of the above reply the Petitioner Companies prayed this Tribunal to sanction the Scheme.

9. The Regional Director (South East Region), Ministry of Corporate Affairs filed additional affidavit dated 24.03.2021 reiterated the submissions made by the Petitioner Companies and prayed this Tribunal to pass orders as deemed fit and proper in the circumstances.

10. The Petitioner Companies enclosed a Certificate from Auditors namely M/s B S R & Associates LLP, Chartered Accountant, stating that the Accounting Treatment proposed in the proposed Scheme is in conformity with Accounting Standard specified under Section 133 of the Companies Act, 2013.

11. Considering the facts and circumstances of the case and on perusal of the Scheme, the documents produced on record, No Objection given by the Income Tax Department and the undertakings given by the Petitioner Companies by way of affidavits, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Hence ordered.

ORDER

The Petitionbe and the same is allowed with the following directions:-

a) The Scheme of Amalgamation (enclosed to Page No.25 of the Company Petition) with appointed date as 01.04.2019 is hereby sanctioned. The same shall be binding on the Petitioners and their respective Shareholders, Secured

Creditors, Unsecured Creditors/Trade Creditors, Employees and all concerned.

b) This order shall not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges and fees if payable, or from any applicable permissions that may have to be obtained or compliances that may have to be made under law.

c) All concerned shall act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme forthwith.

d) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

e) The Petitioner Company are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspapers in which previous publications were issued.

f) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamationunder the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Official Liquidator and the Regional Director (SER), MCA, GoI, Hyderabad.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu